



Affle reported stable performance in Q3FY23 with EBITDA margin expansion, strong and steady growth in emerging markets.

- Revenue at INR 3,761 Mn, +6.1% qoq / +10.8% yoy
- EBITDA at INR 803 Mn, +13.5% qoq / +18.7% yoy
- EBITDA margin at 21.4% vs 20% / 19.9% in Q2FY23 / Q3FY22
- EBIT at INR 668 Mn, +15.7% qoq / +15.5% yoy
- EBIT margin at 17.8% vs 16.3% / 17.0% in Q2FY23 / Q3FY22
- Reported PAT at INR 691 Mn, +17.2% qoq / +11% yoy
- Reported EPS at INR 5.2 vs 4.4 / 4.7 in Q2FY23 / Q3FY22
- Normalized PAT stood at INR 691 Mn, +17.2% qoq / +15% yoy
- Normalized EPS stood at INR 5.2 vs 4.4 / 4.5 in Q2FY23 / Q3FY22.
- Converted Users in CPCU business stood at 67.8 Mn vs 64.7 Mn / 58.5 Mn in Q2FY23 / Q3FY22
- Average CPCU rate stood at INR 51.0 in Q3FY23 vs INR 51.0 / 51.8 in Q2FY23 / Q3FY22

Rating	TP (Rs)	Up/Dn (%)
BUY	1,366	26

Market data

Current price	Rs	1,081
Market Cap (Rs.Bn)	(Rs Bn)	144
Market Cap (US\$ Mn)	(US\$ Mn)	1,759
Face Value	Rs	2
52 Weeks High/Low	Rs	1385 / 871
Average Daily Volume	('000)	176
BSE Code		542752
Bloomberg		AFFLE.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	3,338	5,168	10,817	14,714	18,442
EBITDA	879	1,297	2,134	2,993	3,966
Adjusted net profit	655	1,029	2,226	2,681	3,640
Free cash flow	1,179	1,061	1,540	1,923	2,960
EPS (Rs)	5.2	10.2	16.7	20.1	27.3
growth (%)	30%	95%	64%	20%	36%
P/E (x)	207.0	106.1	64.8	53.8	39.6
P/B (x)	62.9	40.1	12.2	10.0	8.0
EV/EBITDA (x)	163.3	110.8	65.4	45.5	33.7
ROCE (%)	27.4	19.7	12.9	14.0	16.2
RoE (%)	28.6	37.8	18.9	18.5	20.1
Dividend yield (%)	-	-	-	-	-

Source: Company

% Shareholding	Dec-22	Sep-22
Promoters	59.89	59.89
Public	40.05	40.11
Total	100	100

Source: BSE

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Conference Call Key Highlights

- The macro headwinds in the developed markets especially US and Europe saw a delay in decision-making from clients. Going forward the developed markets should do well as the addressable market is large while the base for Affle is small.
- The Management is confident of delivering consistent long-term growth from India and emerging markets (which account for 80% of business) versus peers who are focussed on developed markets. India and emerging markets should continue to grow at ~25% CAGR.
- Management focused on quality deep funnel consumer conversions rather than volume, and the reduction of the inventory and data costs led to an EBITDA margin expansion of 140 bps QoQ.
- Management continues to invest in their organic business and actively looks at inorganic acquisitions to improve bottom-line growth, while focusing on emerging high-growth verticals. The acquisitions going forward should be margin accretive.
- The macro headwinds have led to the balancing of the advertisement spending between Q3 and Q4, which should lead to a flattish quarter rather than a seasonally weak quarter.
- The update on the google play policy in India should level the playing field and help the overall ecosystem. The growth plan for Affle has been independent of whether google is kept in check or not.
- Affle's ROI linked user conversion model fits best for the new-age companies and start-ups as they will now focus only on highly efficient user-converting advertisements and profitability.

Quarterly Performance Analysis

Exhibit 1

Particulars	Q1FY22	Q2FY22	Q3FY22	Q4FY22	FY22	Q1FY23	Q2FY23	Q3FY23
Converted Users (Mn)	31.5	48.7	58.5	56.6	195.3	61.9	64.7	67.8
Q-o-Q Growth (%)	6%	55%	20%	-3%		9%	5%	5%
Y-o-Y Growth (%)	85%	73%	91%	91%	85%	97%	33%	16%
Average CPCU (INR)	42.0	51.3	51.8	51.1	49.1	52.1	51.0	51.0
Q-o-Q Growth (%)	3%	22%	1%	-1%		2%	-2%	0%
Y-o-Y Growth (%)	2%	27%	26%	25%	20%	24%	-1%	-2%
CPCU Revenue (Mn)	1323	2498	3030	2892	9579	3225	3300	3458
Q-o-Q Growth (%)	9%	89%	21%	-5%		12%	2%	5%
Y-o-Y Growth (%)	90%	121%	142%	139%	123%	144%	32%	14%

Source: Dalal & Broacha Research, Company

Exhibit 2 – Quarterly Trend of CPCU and non-CPCU business

Consumer Plat form	Q1FY22	Q2FY22	Q3FY22	Q4FY22	FY22	Q1FY23	Q2FY23	Q3FY23
CPCU	1322.7	2501.2	3033.8	2882.1	9739.7	3224.6	3271.1	3435.3
Q-o-Q (%)	9%	89%	21%	-5%		12%	1%	5%
Y-o-Y (%)	17%	99%	151%	138%	127%	144%	8%	19%
non-CPCU	183.8	229.4	329.6	240.4	983.2	250.2	250.0	302.8
Q-o-Q (%)	4%	25%	44%	-27%		4%	0%	21%
Y-o-Y (%)	-7%	2%	87%	37%	26%	36%	-24%	26%
Total Consumer Plat form	1506	2731	3363	3122	10722.9	3475	3521	3738
Q-o-Q (%)	9%	-46%	123%	14%		11%	-67%	8%
Y-o-Y (%)	13%	85%	143%	125%	111%	131%	5%	20%

Source: Dalal & Broacha Research, Company

Valuation & Outlook

At the current level of INR 1,082, the stock is trading at 53.8x / 39.6x FY23e / FY24e EPS. Despite the weak global economic cues and sentiments, Affle's focus on quality revenue and internal optimization has helped them expand their margins.

Management indicated that the growth in emerging markets and the normalization of macroeconomic concerns in the coming quarters should bode well for Affle as companies will continue to spend for user conversions.

The continued focus on the organic business and on margin accretive inorganic acquisitions going forward should help Affle to continue growing at a steady and strong pace.

We remain optimistic about the prospects of the company given the high industry growth rate coupled with Affle's strong fundamentals and therefore **we maintain a BUY rating on the stock with a target price of INR 1,366 valuing the company at 50x PE multiple on FY24E earnings.**

Financials

Profit & Loss Statement

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Revenue from Operatio	3338	5168	10817	14714	18442
% Growth	34%	55%	109%	36%	25%
Operating Expenses					
Inventory and Data Costs	1921	2977	6789	9099	11260
Employee Benefit Expense	273	540	1296	1862	2236
Other Expenses	265	354	597	761	979
Total Operating Expense	2459	3871	8682	11721	14476
EBITDA	879	1297	2134	2993	3966
Growth (%)	25%	48%	65%	40%	33%
EBITDA Margin (%)	26%	25%	20%	20%	22%
Less: Depreciation	133	197	324	472	475
EBIT	746	1100	1810	2521	3491
Growth (%)	24%	48%	65%	39%	38%
EBIT Margin (%)	22%	21%	17%	17%	19%
Interest Paid	14	36	12	10	9
Other Income	61	415	714	584	738
PBT	792	1479	2512	3095	4220
Tax Expenses	137	120	285	414	580
Net Profit	655	1359	2226	2681	3640
Adjust PAT	655	1029	2226	2681	3640
Growth (%)	34%	57%	116%	20%	36%
APAT Margin (%)	20%	20%	21%	18%	20%
EPS	5.2	10.2	16.7	20.1	27.3
Growth (%)	30%	95%	64%	20%	36%
Adj. EPS	5.2	10.1	15.2	20.1	27.3
Growth (%)	30%	94%	50%	32%	36%

Financial Ratio Analysis

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Profitability Ratios					
ROE (%)	29%	38%	19%	19%	20%
ROCE (%)	27%	20%	13%	14%	16%
ROA (%)	12%	12%	9%	9%	10%
Valuation Ratios					
Book Value (Rs.)	17	27	89	109	136
P/E (x)	207	106	65	54	40
P/BV (x)	63	40	12	10	8
EV/EBITDA (x)	163	111	65	46	34
Market Cap. / Sales (x)	43	28	13	10	8
Market Cap	1,44,177	1,44,177	1,44,177	1,44,177	1,44,177
Net Cash	627	460	4562	7898	10446
Net Debt	-627	-460	-4562	-7898	-10446
Dividend Payout Ratio (%)	0%	0%	0%	0%	0%
Current Market Price	1082	1082	1082	1082	1082

Balance Sheet					
Particulars	FY20	FY21	FY22	FY23E	FY24E
EQUITY					
Equity Share Capital	255	255	267	267	267
Other Equity	2037	3337	11527	14208	17848
Total Equity	2292	3592	11794	14475	18115
LIABILITIES					
Non-Current Liabilities					
<i>Financial Liabilities</i>					
Borrowings	281	893	891	543	493
Other Non-Current Financial Liabilities	118	1067	1218	2917	2917
Total Non-Current Liabilities	433	1998	2188	3485	3435
Current Liabilities					
<i>Financial Liabilities</i>					
Borrowings	357	275	593	543	493
<i>Trade Payables</i>					
Others	743	1256	2517	3372	4164
Other Financial Liabilities	70	242	788	745	895
Total Current Liabilities	1276	1936	4288	4792	5704
Total Equity and Liabilities	4000	7526	18269	22752	27253
Non-Current Assets					
Property Plant & Equipment					
Gross Block	24	223	559	1308	1908
Less: Depreciation	14	210	535	1007	1482
Net Block	10	13	24	301	426
Investment in Associates			1345	1345	1345
Goodwill	1107	3149	6163	6163	6163
Other Intangible Assets	474	425	804	965	1158
Intangible Assets Under Development	48	403	422	736	922
Financial Assets					
Investments	0	996	0	500	750
Loans	13	13	50	13	13
Total Non-Current Assets	1689	5018	8811	10042	10796
Current Assets					
Financial Assets					
Trade Receivables	744	1079	2347	3185	3992
Cash and Cash Equivalents	696	491	3163	8484	10682
Other Bank Balances	569	141	2883		
Total Current Assets	2321	2507	9458	12710	16457
Total Assets	4010	7525	18269	22752	27253

Cash Flow Statement

Particulars	FY20	FY21	FY22	FY23E	FY24E
PAT	655	1359	2226	2681	3640
Less: Non Operating Income	-61	-415	-714	-584	-738
Add: Depreciation	133	197	324	472	475
Add: Interest Paid	14	36	12	10	9
Operating Profit before WC Changes	742	1177	1849	2579	3386
(Inc)/Dec in Current Assets	-370	-818	-1537	-814	-1549
Inc/(Dec) in Current Liabilities	504	660	2352	504	912
Net Cash Generated From Operations	876	1019	2663	2269	2749
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-1182	-2547	-3748	-1223	-979
(Inc)/Dec in Investment (Strategic)	-37	-978	1013	-517	-250
(Inc)/Dec in Investment (Others)	-12	0	-37	37	0
Add: Non Operating Income	61	415	714	584	738
Net Cash Flow from Investing Activities	-1169	-3110	-2058	-1119	-492
Cash Flow from Financing Activities					
Less: Interest Paid	-14	-36	-12	-10	-9
Net Cash Flow from Financing Activities	1244	1470	6153	1288	-59
Net Inc/Dec in cash equivalent s	950	-622	6758	2437	2198
Opening Balance	305	1265	632	6046	8484
Closing Cash and Cash Equivalent s	1255	643	6046	8483	10682

Free Cash Flow Statement

INR Mn	FY20	FY21	FY22	FY23E	FY24E
EBITDA	879	1297	2134	2993	3966
FC Investment	9	199	734	1223	979
WC Changes	134	-158	814	-310	-637
Depreciation Tax Shield	23	16	37	63	65
Tax Expenses	152	105	285	400	545
FCFF	1179	1061	1540	1923	2960

Source: Dalal & Broacha Research, Company

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